Sample Employer, Inc. | Sample PBM, Inc.

8 OF 10

Provisions require attention.

So does the typical PBM contract. **Less than 15% of contracts reviewed in our reference dataset would meet a fiduciary-aligned standard.**

4 Red Flag | 4 Concern | 2 Good

ANALYST FINDING

This contract carries 4 red flags, most critically an active fiduciary disclaimer, PBM-controlled auditor selection with extrapolation prohibited, explicit carve-out repricing penalties, and a narrow rebate definition that permits retention of substantial manufacturer revenue categories.

Fiduciary Conduct	Financial Integrity	Oversight & Control
RED FLAG	RED FLAG	RED FLAG
P1 · P6 · P8	P2 · P3 · P10	P4 · P5 · P7 · P9

PROVISIONS REVIEWED

10 OF 10 · TIER CLASSIFICATIONS

#	PROVISION	FINDING	STATUS
P1	**Fiduciary Loyalty Commitment** *Does the PBM stand behind your fiduciary duty?*	Contract explicitly disclaims fiduciary status with no commitment to support Plan Sponsor's fiduciary obligations; Client is declared solely responsible for all fiduciary duties.	RED FLAG
P2	**Pass-Through Pricing Integrity** *Are pharmacy claims billed at the price actually paid?*	Contract uses an AWP discount schedule with no pass-through commitment and no exact-amount equivalence language; no prohibition on DIR fees, clawbacks, or retroactive adjustments appears anywhere.	CONCERN CAA 2026
P3	**Rebate & Manufacturer Revenue** *Is every dollar from manufacturers passed through?*	Contract commits to 100% pass-through of Rebates but defines Rebates narrowly to brand-name drugs only, net of administration fees, and explicitly excludes administrative service fees, market development funds, performance payments, and all other manufacturer revenue categories.	RED FLAG CAA 2026
P4	**Data Ownership & Rights** *Who owns the claims data, you or the PBM?*	Contract states Claims Data is Client's property held in custodial capacity, but grants PBM broad unilateral rights to use de-identified data for product development and other legitimate business purposes without Client consent.	CONCERN
P5	**Audit Rights & Verification** *Can you audit financial arrangements independently?*	Contract requires Client to select auditors exclusively from a PBM-controlled approved vendor list, prohibits extrapolation of audit findings, and bars access to aggregator and manufacturer contract terms.	RED FLAG CAA 2026
P6	**Conflict of Interest & Network** *Are PBM-affiliated pharmacies and steering disclosed?*	Contract warrants no current pharmacy ownership extending to affiliates, officers, and family members; includes a forward-looking acquisition prohibition with Client termination right; and contains an explicit anti-steering commitment with 90-day network change notice.	GOOD CAA 2026
P7	**Carve-Out & Vendor Rights** *Can you carve out specialty drugs to a competing vendor?*	Contract designates PBM as preferred provider and explicitly reserves the right to reprice guarantees if Client engages any third-party vendor performing claims adjudication, formulary management, or specialty drug distribution, creating financial penalties for carve-out activity.	RED FLAG
P8	**Lowest Net Cost & Clinical** *Does the formulary optimize for cost rather than rebates?*	Contract describes formulary management based on clinical efficacy and cost-effectiveness standards but contains no explicit lowest-net-cost commitment and no anti-rebate-chasing language.	CONCERN CAA 2026
P9	**Termination & Clean Exit** *Can you exit cleanly, without penalty?*	Contract provides without-cause termination on 90 days notice with no early termination fee, earned rebates paid through termination date, and transition assistance including continued claims adjudication for up to 90 days.	GOOD
P10	**Administrative Fee Transparency** *Are administrative fees fully disclosed and verifiable?*	Contract itemizes fees by PEPM and per-claim rates and provides annual sole-compensation verification, satisfying factors 1, 2, and 3; however, no book-of-business benchmarking right is provided, leaving factor 4 absent.	CONCERN CAA 2026

The three most significant red flags.

These warrant the analyst finding. Each is fixable in negotiation, none is fixable after signature. **The Full Assessment shows you all 8 Red Flag and Concern provisions with redline language for each.**

P1 — RED FLAG

Fiduciary Loyalty Commitment

Contract explicitly disclaims fiduciary status with no commitment to support Plan Sponsor's fiduciary obligations; Client is declared solely responsible for all fiduciary duties.

MARKET PATTERN 84% of contracts in our reference dataset score Red Flag or Concern on this provision.

P3 — RED FLAG

Rebate & Manufacturer Revenue

Contract commits to 100% pass-through of Rebates but defines Rebates narrowly to brand-name drugs only, net of administration fees, and explicitly excludes administrative service fees, market development funds, performance payments, and all other manufacturer revenue categories.

MARKET PATTERN Only 26% of contracts score Red Flag or Concern on rebate language. This contract is in the lower-scoring quarter of the market.

P5 — RED FLAG

Audit Rights & Verification

Contract requires Client to select auditors exclusively from a PBM-controlled approved vendor list, prohibits extrapolation of audit findings, and bars access to aggregator and manufacturer contract terms.

MARKET PATTERN 71% of contracts score Red Flag or Concern on audit rights.

CAA 2026 READINESS

5 of 6 CAA 2026 provisions fall short of fiduciary standards.

5 of 6 FLAGGED

Each Red Flag and Concern provision corresponds to a specific section of the Consolidated Appropriations Act 2026. The Full Assessment maps every finding to its statutory section and provides contract language to satisfy each requirement.

- P2 → § 9701 Compensation transparency
- P3 → § 9701 Manufacturer revenue disclosure
- P5 → § 9704 Plan-sponsor audit rights
- P6 → § 9706 Conflict-of-interest disclosure
- P8 → § 9712 Pricing-integrity standards
- P10 → § 9701 Administrative fee disclosure

NEXT STEP · FULL ASSESSMENT

Everything you need to fix all *8 Red Flag and Concern provisions.*

CONTRACT SCORECARD
The full 10-provision breakdown with your Fiduciary Alignment Score and methodology citations.

NEGOTIATION REPORT
Specific contract language to redline for every flagged provision, prioritized for your next renewal or procurement.

DATA SOVEREIGNTY SCORE
A focused score on the five provisions that determine who controls your data, your audits, and your rebate flow.

EXECUTIVE BRIEF
A board-ready briefing document for the fiduciary conversation with leadership.

Statutory mappings, redline language, and a board-ready briefing. **Delivered in 72 hours.**

UPGRADE →